

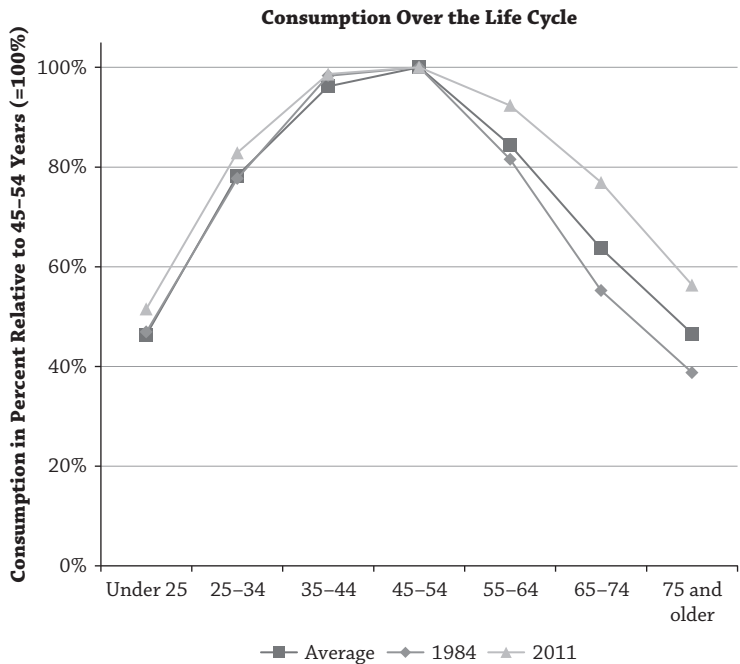


Figure 5.6

over their life cycles. In all of them, whether your labor income is stock-like or bond-like is a major determinant of your asset allocation over the life cycle.

Benzioni, Collin-Dufresne, and Goldstein (2007) and Lynch and Tan (2011) specify labor income processes that match the low correlation of labor income and stock returns for the average investor but allow more realistic dynamics where labor income and stock returns can co-move over business cycle and longer frequencies. This is intuitive: we expect labor income and stock returns to be correlated over long frequencies as both human capital and stock capital should benefit from growing economies. Anyone losing a job in the Great Recession also knows that labor income and stock returns can be highly correlated over certain short periods.

Benzioni, Collin-Dufresne, and Goldstein allow labor and stocks to move with each other in the long run (labor and stock returns are *cointegrated*). Because of this long-run comovement, the young person with a long horizon has stock-like human capital. The old person with a short horizon has bond-like human capital.

discounting utility and reference-dependent preferences, respectively. Peijnenburg (2011) uses ambiguity aversion in her life-cycle model. In addition to the papers in the main text, see also Gomes and Michaelides (2005).